



MEMORANDUM

TO: Honorable Mayor Patrick Collins and City of Cheyenne Council Members
FROM: Robin Lockman, City Treasurer
DATE: February 3, 2022
SUBJECT: Investment Policy Statement

On January 25, 2022, the City's Investment Committee, which is comprised of the Mayor, City Treasurer, City Council President and Finance Committee Chair, voted to recommend approval of revisions made to the City's Investment Policy Statement.

The City is fortunate to have Mr. Patrick Fleming, the Chief Investment Officer for the State of Wyoming, and Mr. Jeffrey Prince, a local investment advisor, to serve as non-voting members of this Committee. They provided their investment expertise in making suggested changes to the policy statement. In addition, the City's new Investment Advisor, Federated Hermes, reviewed the City's policy statement to ensure we comply with Wyoming State Statutes.

As always, if you have any questions, please give me a call at 637-6336 or email at rlockman@cheyennecity.org.

Approved as to
form only:

Stefanie Boster
Date: 1/31/2022

RESOLUTION NO. _____

**ENTITLED: "A RESOLUTION ADOPTING THE REVISED CITY OF
CHEYENNE, WYOMING INVESTMENT POLICY
STATEMENT."**

WHEREAS, Wyoming State Statute § 9-4-831(h) requires that the City of
Cheyenne adopt and have on file an Investment Policy Statement; and

WHEREAS, the Governing Body of the City of Cheyenne has previously
adopted its Investment Policy Statement with the last amendment to the Policy
occurring through adoption of Resolution No. 5922 on April 9, 2018; and

WHEREAS, the City's Investment Committee recommends that the
Governing Body approve the City of Cheyenne's Investment Policy Statement as
attached with this Resolution; and

WHEREAS, the Governing Body wishes to adopt the revised Investment
Policy Statement as recommended by the Investment Committee.

**NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING
BODY OF THE CITY OF CHEYENNE, WYOMING**, that the revised City of
Cheyenne, Wyoming Investment Policy Statement, attached with this Resolution,
is hereby adopted and made effective upon passage of this Resolution.

PRESENTED, READ AND ADOPTED this _____ day of _____,
2022.

(S E A L)

Patrick J. Collins, Mayor

ATTEST:

Kristina F. Jones, City Clerk

City of Cheyenne, Wyoming

Investment Policy Statement

Approved as to
form only:

Sharon Bente
Date: 1/31/2022

The purpose of this Investment Policy is to establish investment objectives, provide investment guidelines, and set forth responsibilities and procedures necessary for the prudent management and investment of the funds of the City of Cheyenne ("City").

I. Governing Authority

This Investment Policy is adopted pursuant to W.S. § 9-4-831(h). The investment program governed by this Policy shall be operated in conformance with all federal, state, and local legal and policy requirements, including the requirements set forth in W.S. § 9-4-816 through W.S. § 9-4-831.

II. Scope

This Policy applies to the activities of the City regarding investing the financial assets of all funds, except funds held in checking accounts and funds under the control of the City of Cheyenne Board of Public Utilities.

Except for funds in certain restricted and special funds or accounts, the City may commingle its funds to maximize investment earnings and to increase efficiencies regarding investment pricing, safekeeping and administration. Investment income will be allocated to the various funds based on their respective participation and in accordance with generally accepted accounting principles.

This Policy also applies to all commingled funds.

III. General Objectives

Investment activities shall occur in a manner that strives for the highest possible risk-adjusted total return consistent with the following primary objectives, in priority order:

1. **Safety:** The safety and preservation of principal is the primary and foremost objective of the investment program. Investments shall be made that seek to ensure the preservation of capital in the overall portfolio. The goal will be to mitigate credit risk, interest rate risk, and custodial risk.
2. **Liquidity:** The investment portfolio shall remain sufficiently liquid to meet all operating requirements that may be reasonably anticipated. This shall be accomplished by maintaining appropriate balances in investment vehicles that fall within the most liquid asset classes; and structuring the portfolio so that securities mature concurrent with cash needs to meet anticipated demands.
3. **Yield:** The investment portfolio shall be managed to maximize the return on investments consistent with the safety and liquidity objectives described above, with the goal of exceeding the stated benchmark returns over a full market cycle.
4. **Local Community Investment:** The investment portfolio shall be managed with a commitment towards local economic development. Investments in local institutions, domestic instruments, or through local brokers, where possible, are preferred.

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IV. Delegation of Authority and Responsibilities

Governing Body: The Governing Body of the City of Cheyenne retains ultimate fiduciary responsibility for the City's financial assets, investment program and this Policy. Upon its request, the Governing Body shall be given reports about the City's investments. A copy of this Policy shall be reviewed and approved by the Governing Body on, at least, a biennial basis.

Investment Officer: Authority to manage the City's investment program is granted to the City Treasurer, also referred to herein as the City's Investment Officer, who shall act in accordance with this Policy, established written procedures, and all internal controls established for the operation of the investment program.

Investment Committee: An Investment Committee shall be established to assist the Investment Officer in managing the investment program and to facilitate direct communication to the Governing Body. The Investment Committee shall be composed of the following persons:

1. Two members of the City Council appointed by the President of the City Council, for 2-year terms. These members shall be voting members of the Committee and one member of the City Council shall be appointed Chair of the Investment Committee.
2. The Mayor or designee. The Mayor or his/her designee shall be a voting member of the Committee.
3. The City Treasurer. The City Treasurer shall be a voting member of the Committee.
4. The Deputy City Treasurer. The Deputy City Treasurer shall be a non-voting member of the Committee.
5. The City Attorney or designee. The City Attorney or his/her designee shall be a non-voting member of the Committee.
6. Two non-City employees with financial expertise shall be appointed by the Chairman of the Committee for 2-year terms. These members shall be non-voting members of the Committee.
7. Administrative Staff shall be provided by the City Council's Office.

The Investment Committee shall meet on a biannual basis at a time designated by the Chair of the Investment Committee. If needed, the Chair of the Investment Committee can call a special meeting. As part of its duties, the Investment Committee shall:

- Undertake a biannual review of the City's investment activities, and recommend changes as needed; and
- On a periodic basis, review, comment upon, and make changes to this Policy.

Investment Advisors: The City may engage the services of one or more external investment advisors/managers to assist in the management of the City's investment portfolio in a manner consistent with the objectives contained herein. Such external managers may be granted discretion to purchase and sell investment securities in accordance with this Policy. Such managers must be registered under the Investment Advisers Act of 1940 and are subject to all requirements relating to investment advisers under Wyoming law. The firm shall have at least a three (3) year verifiable track record and a total assets under management (AUM) of at least \$500 million.

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V. Standards of Care

All participants in the investment process shall be held to the highest standards of professional and ethical conduct. Each participant should be committed to honesty, integrity, and accountability in all of his or her decisions and actions relating to the investment process.

Compliance with Laws, Rules, Regulations and Policies: All participants in the investment process must comply with any and all applicable laws, rules and regulations and the terms and provisions of this Investment Policy.

Prudence: The standard of care to be applied by all participants in the investment process shall be the “prudent person” standard.

Any person, persons, or third parties investing or managing the City’s financial assets, shall do so as a prudent investor would, by considering the purposes, terms, distribution requirements, and other circumstances, and exercising reasonable care, skill and caution in all decisions and actions.

Conflicts of Interest: All participants in the investment process have a duty to avoid financial, business or other relationships which might cause a conflict with the performance of their duties and could reasonably be expected to interfere with their duties or their ability to make unbiased and objective recommendations and decisions. Each participant should conduct himself or herself so as to avoid even the appearance of such conflicts of interest.

To avoid conflicts of interest, all participants in the investment process shall, at a minimum:

- refrain from personal and business activity that could conflict with proper execution and management of the investment program, or that could impair their ability to make impartial investment decisions;
- disclose to the Mayor of the City of Cheyenne any material interest in financial institutions with which they conduct business; and
- refrain from undertaking any personal investment transactions with the same individual (e.g., investment advisor) with whom business is conducted on behalf of the City.

Internal Controls: The City Treasurer shall establish a written system of internal guidelines and controls, which shall be reviewed and approved by the investment committee and the City’s independent auditor. The controls shall be designed to prevent the loss of public funds arising from fraud, employee error, misrepresentation by third parties, unanticipated changes in financial markets, or imprudent actions by the Investment Officer and participants in the investment process. The guidelines and controls should include, but not be limited to:

- frequent reconciliation of investment and accounting records;
- written confirmation of transactions;
- annual independent reviews by an external auditor to assure compliance with this policy;
- appropriate training for participants in the investment process; and
- a list of approved financial institutions, depositories, and broker/dealers (see below).

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VI. Authorized Financial Institutions, Depositories, and Broker/Dealers

The Investment Officer will maintain a list of approved financial institutions, depositories, and securities broker/dealers selected by a process that ensures due diligence in the selection process. The City will limit all security purchases to financial institutions and broker/dealers on the approved lists.

Financial institutions and depositories eligible to transact investment business with the City are those listed in W.S. § 9-4-817 and must federally insured through the Federal Deposit Insurance Corporation (FDIC).

- banks incorporated under the laws of Wyoming;
- national banks;
- savings and loan associations incorporated under the laws of Wyoming; and
- federal savings and loan associations and federal savings banks.

All financial institutions who desire to become qualified for investment transactions must supply the Investment Officer with the following information, as requested:

- audited financial statements;
- proof of Financial Industry Regulatory Authority certification;
- trading resolution;
- proof of state registration;
- certification of having read the City's Investment Policy; and
- depository contracts.

All broker/dealers who desire to become qualified for investment transactions must supply the following:

- proof of proper registration with their appropriate regulatory agency;
- proof of insurance, either through private or regulatory sources, satisfactory to the Investment Committee;
- proof of satisfactory record of past performance; and
- proof of registration to do business in the State of Wyoming.

An annual review of the financial condition and registration of qualified financial institutions and broker/dealers will be conducted by the Investment Officer.

VII. Delivery, Payment and Safekeeping

Delivery vs. Payment: All trades of marketable securities entered into by the City shall be conducted on a delivery-versus-payment (DVP) basis to ensure that securities are deposited in eligible financial institutions prior to the release of funds.

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Safekeeping: Securities shall be held by an independent third-party custodian institution selected by the City. All securities will be evidenced by safekeeping receipts in the City's name. The City must receive a safekeeping receipt on the same day as the deposit is made.

VIII. Authorized Investments and Investment Guidelines

Wyo-Star: The City will use the State of Wyoming Local Investment Pool (Wyo-Star) as the primary means of short-term investment management. The City may also use, at its discretion, other qualified short-term investment vehicles or programs.

Other Investment Types: The City shall invest only in those securities and investments authorized by W.S. § 9-4-831 and any other state law authorizing such investments.

Credit Guidelines: The following credit guidelines shall be followed:

- Bonds must be investment grade rated by at least two of the three Nationally Recognized Securities Rating Organizations ("NRSRO") (Fitch Ratings, Inc., Moody's Investors Service, Inc. and S&P Global Ratings). If the downgrade of a single bond forces the holding below the lowest rating allowed for the security, the City's investment advisor will notify the City within a reasonable timeframe and a decision will be made whether to hold or sell the bond.
- No non-investment grade bonds can be held for more than three months after the downgrade. No non-investment grade bonds can be bought.
- Purchases or sales of securities shall be executed through firm(s) offering the best price and execution, unless otherwise directed by the City. All fixed income investments will be U.S. dollar denominated.
- All securities in the short term/liquid portfolio that are not backed by the U.S. Government, its agencies, or its instrumentalities must conform to Securities and Exchange Commission (SEC) requirements for first tier money market investments.

Authorized Collateral: In order to provide an adequate level of security for all deposited funds, the collateralization level will be 105% or higher, as required by law, of the higher of the par or market value of the deposits. The market value of the deposits will include accrued interest. Only U.S. Treasury securities are permitted to be used as collateral.

The collateralization requirements found in W.S. § 9-4-820 and W.S. § 9-4-821 shall be followed, with the exception of conventional first mortgages. In addition, collateralization is also required on the following types of investments:

- time deposits; and
- repurchase and reverse agreements.

IX. Investment Parameters

Diversification: The City shall mitigate credit risk—which is defined as the risk that a security or

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a portfolio will lose some or all of its value due to a real or perceived change in the ability of the issuer to repay its debt—by diversifying its investments as follows:

- limiting investments in investment grade securities that have higher credit risks;
- investing in short-term eligible securities to include institutional certificates of deposit and asset-backed commercial paper;
- investing in securities with varying maturities;
- limiting individual holdings, other than those backed by the U.S. Government, its agencies, or its instrumentalities, certificates of deposits, and authorized pools to no more than 5% in any one single obligor; and
- continuously investing a portion of the portfolio in readily available funds.

Liquidity: The City shall mitigate market risk—which is defined as the risk that the portfolio value will fluctuate due to changes in the general level of interest rates—by providing adequate liquidity for short-term cash needs, and by making longer-term investments only with funds that are not needed for current cash flow purposes. To further mitigate market risk, the following strategies shall be followed:

- a minimum level of six months of budgeted operating expenditures in short term investment shall be maintained, unless the budgeted disbursements are held in Wyo-Star I, to provide sufficient liquidity for expected disbursements;
- the maximum percent of callable securities in the portfolio shall be 20%;
- liquidity funds will be held in the Wyo-Star or in money market instruments maturing one year and shorter;
- longer term/core funds will be defined as the funds in excess of liquidity requirements;
- allow the use of money funds; The duration of the portfolio will not exceed +20% of the benchmark.
- no index related funds are allowed. Examples of these prohibited index related securities are those whose interest rate is based on an index of commodities or equity securities.

X. Performance Standards/Evaluation

The performance of investments will be measured against the performance of a combination of benchmarks. Investment performance will be measured using “Total Rate of Return” measurement. The manager must provide monthly, quarterly, and annual performance reports against the stated benchmark on a net of fees basis.

The assets of the portfolio managed by external advisors shall be benchmarked as follows:

- Longer Term/CORE funds: Bloomberg Barclays U.S. 1-3 Government/Credit Index;
- Liquidity Funds (excluding Wyo-Star): Citigroup 3-month Treasury Bill Index.

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XI. Statement of Investment Officer or Advisor

Pursuant to W.S. § 9-4-831(h), the following Investment Policy Statement must be signed by any person who:

1. effects any investment transaction on behalf of a political subdivision; or
2. offers any investment to the Governing Body of a political subdivision.

“Pursuant to W.S. § 9-4-831(h) and this Investment Policy Statement of the City of Cheyenne, I hereby swear and affirm that I have read the Investment Policy Statement of the City of Cheyenne, and that I agree to abide by applicable state law with respect to advice I give and the transactions I undertake on behalf of the City of Cheyenne.”

The Client
City of Cheyenne, Wyoming

The Advisor

By: _____

By: _____

Name: _____

Name: _____

Title: _____

Title: _____